

ContexAi Research Desk · Sourced via Reuters, CNBC, Business Recorder, Express Tribune, Mettis Global, AGBI, Gulf News, S&P Global, Kitco, SBP & Regulatory Trackers · For the C-Suite & HNW Investor · **V** = verified vs licensed media/official portal · **EST.** = ContexAi desk estimate

KSE-100 V
172,232.51
▲ 0.48% Wed ·
+830 pts

S&P 500 V
7,706.03
Dow -1.03% ·
Nasdaq -0.69%

US 10Y / 2Y V
5.10 / 4.92
19-yr high ·
hawkish Fed

BRENT / WTI V
\$103.08 / \$92.16
▲ 3.9% / ▲ 1.8% ·
Hormuz crisis

GOLD V
\$4,290
-1.5% · silver
\$65.06 (-3.1%)

USD/PKR V
277.30
interbank · rupee
steady

01 Five Things You Need To Know To Start Your Day

KSE-100'S FIFTH STRAIGHT GAIN

The **KSE-100** rose 830.43 points (+0.48%) on Wednesday to close at 172,232.51 — its fifth consecutive positive session and highest close since early September — after touching an intraday high of 172,762.41. Volume jumped to 773.59 million shares worth Rs26.45 billion (from 641.83 million/Rs18.47 billion), the heaviest turnover since 4 September, as 262 stocks advanced against 196 decliners. Refineries led on Pakistan Refinery's upper circuit, with FFC, UBL, MEBL, ATRL and ENGROH adding roughly 493 index points combined; market capitalisation rose Rs84 billion to Rs19.178 trillion. Topline Securities and Arif Habib's Ali Najib both cited easing international oil prices and improving US-Iran diplomatic signals as the catalyst. [Business Recorder](#) and [Daily Independent](#) confirm the print. Sentiment: **fifth straight gain, broadening breadth.**

WALL STREET SLIDES ON YIELD SPIKE

US equities fell across the board Wednesday: the **S&P 500 closed at 7,706.03 (-0.76%)**, the **Dow dropped 1.03% to 51,511.59** and the **Nasdaq lost 0.69% to 26,936.04**, pressured by a surging Treasury yield curve, a weak five-year note auction and hotter-than-expected business-activity data. McDonald's (-4.89%), Alphabet (-4.68%) and Home Depot (-2.80%) led losses while Salesforce (+1.84%), Chevron (+1.38%) and Boeing (+0.95%) held up. [Yahoo Finance](#) and [Motley Fool](#) confirm the close. Sentiment: **risk-off, yield-driven selloff.**

10Y YIELD HITS 19-YEAR HIGH

The **10-year Treasury yield jumped over 13bps to 5.10%**, its highest level since 2007, while the **2-year climbed past 4.92%** on stronger-than-expected US activity surveys, hawkish commentary from Fed Governor Michael Barr on the need for further hikes, and a poorly received five-year note auction — compounding September's 25bp hike to 3.75-4.00%. [CNBC](#) and [NBC News](#) confirm the move. Sentiment: **hawkish, yields at multi-decade highs.**

OIL SNAPS LOSING STREAK ON HORMUZ STANDOFF

Brent rose 3.9% to \$103.08 and **WTI gained 1.8% to \$92.16**, snapping a five-day losing streak after Iran's President Masoud Pezeshkian vowed at the UN that Tehran "will not surrender," dimming hopes of a near-term reopening of the Strait of Hormuz. The IEA has called the ongoing disruption the largest in the history of the global oil market, with over 10 mb/d of Gulf output still shut in and Kuwait's production down roughly a quarter on lost transit capacity. [CNBC](#) and [AGBI](#) confirm. Sentiment: **volatile, geopolitically driven rally.**

GOLD AND SILVER SLIDE AS DOLLAR FIRMS

Gold fell to \$4,290 (-1.5% / -\$66.70 on the day) and **silver tumbled 3.1% to \$65.06** as a hawkish Fed narrative firmed the dollar and lifted real yields, denting precious metals despite the region's geopolitical backdrop. [Fortune](#) and [USAGOLD](#) confirm the pullback. Sentiment: **pulling back on a firmer dollar.**

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Pakistan's macro backdrop remains a study in contrasts: the **KSE-100** notched a fifth straight gain to 172,232.51 even as **August CPI accelerated to 11.15% y/y** from 9.2% in July — food (+13.89%) and transport (+20.17%) the main drivers — pulling headline inflation back into double digits and well above the SBP's 5-7% target band. The **SBP held its policy rate at 11.5%** at its 14 September MPC meeting, while 6-month KIBOR sits at 11.72/11.97% (bid/offer). The **IMF mission began talks this week on the fourth EFF review**, with roughly \$1.2 billion potentially unlocked (a \$1 billion EFF tranche plus \$200 million under the RSF) contingent on energy-sector reform, circular-debt targets and the Sovereign Wealth Fund (Amendment) Bill now before the Senate. [Business Recorder](#) and [Daily Independent](#) confirm.

B. GCC & Middle East

The Gulf's non-oil economies are outrunning the region's energy disruption: **Saudi Arabia's PMI held at 56.6 in September**, a 25th straight month of private-sector growth, while the **UAE's non-oil PMI hit 55.3 in August**, its fastest pace since December 2024, even as the Strait of Hormuz standoff keeps over 10 mb/d of Gulf crude output shut in and Kuwait's production down roughly 25%. Saudi's **PIF has approved its 2026-2030 strategy**, prioritising private-capital mobilisation and portfolio efficiency as Vision 2030 shifts from rapid build-out to sustained value creation. [Gulf News](#) and [PIF](#) confirm.

C. Global Intelligence

The dominant global theme is the bond market: the **10-year Treasury yield's surge to 5.10%**, a 19-year high, reflects a hawkish Fed (September's 25bp hike to 3.75-4.00%, with Governor Barr flagging more to come), resilient US activity data and a weak five-year auction — a combination that is repricing risk assets even as equities stay resilient on an AI-led earnings narrative. Separately, **Washington's tariff agenda widens**: a 100% duty on patented pharmaceuticals and expanded Section 338 tariffs on Canadian goods both take effect 29 September. [CNBC](#) and [Wiley Trade Compliance](#) confirm.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Pakistan Sovereign Wealth Fund (Amendment) Bill, 2026 — tabled in the Senate and now before the Standing Committee on Finance and Revenue, adding fiscal safeguards, governance reforms and disclosure requirements ahead of the IMF's fourth EFF review	SOEs, sovereign fund governance, banks	Wins: institutional investors and IMF programme compliance, transparency advocates. Losses: SOE management facing tighter oversight, patronage-linked appointments.
GCC	PIF's 2026-2030 strategy — approved by the PIF board, shifting from rapid build-out toward private-capital mobilisation and portfolio efficiency as non-oil PMIs hit multi-month highs despite Hormuz-driven output cuts	Tourism, construction, financial services, oil & gas	Wins: Saudi/UAE non-oil diversification plays — tourism, construction, banks. Losses: Gulf oil producers absorbing Hormuz-linked output cuts, Kuwait's export-constrained energy sector.
Global	US tariff expansion — a 100% duty on patented pharmaceuticals and ingredients, plus widened Section 338 tariffs on Canadian goods, both effective 29 September 2026	Pharmaceuticals, healthcare, cross-border trade	Wins: domestic US pharma manufacturers and import-substitution producers. Losses: multinational drugmakers reliant on imported APIs, Canadian exporters, US healthcare payers facing higher costs.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

171,850

Wednesday's intraday low; deeper support near 170,900

PIVOT EST.

172,232

Wednesday's close

RESISTANCE EST.

172,760

Wednesday's intraday high; then the 173,500 psychological level

The desk stays **constructively biased on the KSE-100** heading into Thursday, with refineries, E&P and select banks likely to extend Wednesday's leadership so long as Hormuz headlines don't deteriorate further; a close above 172,760 would open a run at 173,500, while a reversal below 171,850 would flag stalling momentum. Globally, the surge in US yields to 19-year highs is the bigger risk to sentiment — a hawkish Fed and elevated oil keep the path for local rate relief narrow even as the IMF's fourth EFF review gets underway. All levels are indicative desk estimates, not recommendations.

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